Bitcoin Treasury 2.0 – Strategy Brief & Metrics Standard

October 2025

Author: Shone Anstey

Contents

1 Executive Summary **2**

2 Definitions **2**

3 BNAV and Industry-Specific NAV Variants **2**

4 Why Bitcoin Treasury 2.0 **3**
4.1 Benefits vs 1.0 3
4.2 Where 1.0 Falls Short 3
4.3 Geographic Factors 3

5 Metrics Standard (Scoreboard) **4**
5.1 Core Treasury Metrics (1.0 Baseline) 4
5.2 Yield-Enhanced Metrics (2.0 Layer) 5
5.3 Income / Distribution Metrics 5
5.4 Deployment Efficiency Metrics 5
5.5 Risk & Stability 5
5.6 Benchmarks / Comparables 6

6 Deployment Models **6**

7 Risks **6**

8 Opportunities **6**

9 Governance & Policy Suggestions **7**

A Appendix – Key Formulas **7**

B MIT License **7**

1 Executive Summary

Bitcoin Treasury Companies 1.0 primarily accumulate BTC and communicate value through BTC/share and MNAV/share. Bitcoin Treasury 2.0 companies go further: they actively deploy their Bitcoin holdings (for yield, liquidity provision, or other productivity strategies) to earn recurring sats income on treasury assets—compounding growth per share while deepening market utility. This document explains the shift, defines a standardized metrics set, and outlines key risks and opportunities for issuers, investors, and regulators.

2 Definitions

- **Treasury 1.0**: Balance-sheet BTC accumulation, financed by equity and/or debt; success measured via BTC/share and MNAV/share.
- **Treasury 2.0**: BTC accumulation plus active yield generation (through Lightning, derivatives, liquidity strategies, or other Bitcoin-native opportunities) and reporting of per-share sats productivity.
- **MNAV/share**: (Market Value of BTC – Debt) ÷ Shares.
- **BNAV/share (Bitcoin NAV 2.0)**: (Market Value of BTC + Net Yield – Debt) ÷ Shares. This is the umbrella NAV that accounts for yield-enhanced treasury strategies.

3 BNAV and Industry-Specific NAV Variants

To provide clarity and comparability, Bitcoin Treasury 2.0 reporting can use BNAV as a common framework, with sub-variants depending on yield source:

- **LNav (Lightning NAV)**: Yield from Lightning Network operations – routing, channel leasing, swaps.
- Key metrics: Effective capacity, routing efficiency, weighted APR, uptime.
- **DNav (Derivatives NAV)**: Yield from derivatives strategies – covered calls, basis trades, futures funding capture.
- Key metrics: Funding capture, option premium yield, basis spreads.
- **ANav (Arbitrage NAV)**: Yield from liquidity provisioning / market-making – cross-exchange arbitrage, orderbook liquidity.
- Key metrics: Turnover volume, spread capture, ROI on deployed capital.
- **CNav (Credit NAV)**: Yield from other Bitcoin-native innovations – structured credit, synthetic hedges, BTC-backed lending.
- Key metrics: Loan-to-value ratios, yield coverage, credit loss provisions, default rates.

This taxonomy allows:

- **Clarity**: Investors know where yield is sourced.
- **Comparability**: All models roll into BNAV/share, but analysts can differentiate by strategy.
- **Flexibility**: New NAV variants (e.g., SNAV for stablecoin flows, GNAV for green mining credits) can be added as the industry evolves.

4 Why Bitcoin Treasury 2.0

4.1 Benefits vs 1.0

1. Recurring Income Layer: Converts passive BTC exposure into an operational asset generating cash-like flows in sats.
2. Compounding Treasury Growth: Yield reinvestment grows BTC holdings per share independent of spot price.
3. Capital Efficiency: Yield offsets interest expense (if leveraged) and operating costs, improving durability across cycles.
4. Valuation Uplift Potential: Investors can model a blend of asset value (NAV) and operating income (yield), enabling REIT- or infrastructure-style multiples.
5. Ecosystem Leadership: Actively deploying BTC deepens liquidity and positions the company as a contributor to Bitcoin's financial infrastructure.

4.2 Where 1.0 Falls Short

- Relies on BTC price, leverage, and dilution to grow NAV/share.
- Lacks operational KPIs, offering limited visibility into productivity or resilience.
- No explicit mechanism to compound holdings other than new capital raises.
- In regions with Bitcoin ETFs, investors may prefer those over holding equity in Treasury 1.0 companies.
- In markets with limited bond access, e.g., Japan's extensive bond market supports BTC accumulation, while Canada's junior markets limit growth compared to global peers.

4.3 Geographic Factors

Effectiveness varies by region due to capital market and regulatory differences:

- **United States**: Robust bond markets and Bitcoin ETFs make Treasury 2.0 differentiation critical.
- **Japan**: Deep bond markets enable leverage for both 1.0 and 2.0 companies.

- **Canada**: Limited bond access makes 2.0 yield-enhanced models more appealing.
- **European Union**: Variable bond access and regulatory diversity affect strategies.
- **Emerging Markets**: Limited debt and ETF options favor Treasury 2.0 models.

5 Metrics Standard (Scoreboard)

Adopt this scoreboard for quarterly reporting. (Formulas in Appendix.)

5.1 Core Treasury Metrics (1.0 Baseline)

Metric	Definition	Why It Matters / Limitations
BTC Holdings	Total Bitcoin on the balance sheet.	Primary indicator of exposure to BTC price movements. Tells nothing about productivity or yield.
Market Value of BTC Holdings	BTC Holdings × Spot BTC Price.	Shows treasury size in fiat terms. Entirely price-dependent; no measure of capital efficiency.
BTC per Share	BTC Holdings ÷ Shares Outstanding.	Shows Bitcoin backing per share, easy comparability across firms. Dilution-sensitive; doesn't capture debt or yield.
MNAV/share	(Market Value – Debt) ÷ Shares Outstanding.	Adjusts for leverage; the core "NAV/share" KPI for 1.0 firms. Still ignores productivity of holdings.
Unrealized Gain/Loss	Market Value – Cost Basis.	Indicates performance of BTC purchases over time. Backward-looking; doesn't capture ongoing yield.
Leverage Ratio	Debt ÷ Market Value.	Shows capital structure risk and leverage profile. Does not indicate whether debt is effectively serviced by yield or cash flow.

5.2 Yield-Enhanced Metrics (2.0 Layer)

- BNAV/share (Bitcoin NAV 2.0): (Market Value + Net Yield – Debt) ÷ shares.
- LNav (Lightning NAV): Net Yield from Lightning operations (routing fees, channel leasing, swaps).
- DNav (Derivatives NAV): Net Yield from derivatives (covered calls, futures basis trades, funding capture).
- ANav (Arbitrage NAV): Net Yield from liquidity provisioning / cross-exchange arbitrage / market-making.
- CNav (Credit NAV): Net Yield from BTC-backed lending, structured credit, synthetic hedges.
- Sats per Share (Total): (Treasury BTC + earned sats in BTC) ÷ shares.
- Sats Yield per BTC (%): annualized sats earned ÷ BTC deployed × 100.
- Sats Yield per $1M NAV: efficiency measure for comparability.

- Compounded Treasury Growth (CTG): BTC holdings × $(1 + \text{Yield }\%)^{\text{Years}}$.

5.3 Income / Distribution Metrics

- Recurring Yield/share: Sats earned per share, annualized.
- Dividend Potential: Distributable % of yield without reducing core BTC.
- Yield-to-Debt Coverage: Yield ÷ annual debt service.
- Yield-to-Equity Ratio: Yield ÷ market cap.

5.4 Deployment Efficiency Metrics

- Effective Deployment Ratio: Earning capacity ÷ deployed capacity.
- Return on Deployment: Sats earned ÷ allocated BTC or costs.
- Weighted APR (blended): $\Sigma(\text{yield}_i \times \text{allocation}_i) \div \Sigma$ allocations.
- BTC at Work (%): BTC actively deployed ÷ total treasury BTC × 100.

5.5 Risk & Stability

- Yield Volatility (30D, 1Y): Stdev of daily yield ÷ avg daily yield.
- Stress-Test Yield: Modeled APR under BTC price drawdowns.
- Treasury Cushion Ratio: Yield ÷ operating expenses.

5.6 Benchmarks / Comparables

- Sats ROI vs T-bills: Yield APR – 10Y UST yield.
- Sats ROI vs DeFi Yield: Yield APR – stablecoin DeFi yield.
- Relative NAV Growth vs Peers: MNAV + BNAV vs pure treasuries.

6 Deployment Models

Yield for Bitcoin Treasury 2.0 derives from strategies like LNav, DNav, ANav, and CNav.

7 Risks

- **Market Risk**: BTC price volatility affects NAV directly. Yield in sats may stabilize, but dollar value fluctuates.
- **Yield Compression / Competition**: Margin shrinkage as more firms enter markets.
- **Operational Risk**: Custody failures, human error, or software vulnerabilities.
- **Cost Volatility**: On-chain fees or funding costs can erode yield.
- **Regulatory / Accounting Uncertainty**: Lack of global standards.
- **Liquidity & Funding Risk**: Continuous yield vs. periodic obligations.
- **Technology & Cybersecurity Risk**: Threats like node hijacking.
- **Reputational Risk**: Misreporting or underperformance.

8 Opportunities

- Valuation Re-rating: Hybrid model merits premium vs. passive treasuries.
- Distribution Policy: Sats-based dividends or buybacks.
- Partnerships: Settlement rails, merchant networks.
- Financial Products: Yield-backed ETFs or bonds.
- Data Advantage: Telemetry on flows and liquidity demand.

9 Governance & Policy Suggestions

- Deployment Bands: Define allocation ranges (e.g., 20–40%).
- Risk Budgeting: Set limits on counterparties and leverage.
- Audit & Transparency: Independent reviews of metrics.
- Capital Allocation: Rules for reinvestment vs. distributions.
- Governance Oversight: Quarterly board reporting.
- Policy Flexibility: Annual reviews for adaptability.

A Appendix – Key Formulas

- Market Value = BTC Holdings × BTC Price
- BTC per Share = BTC Holdings ÷ Shares Outstanding
- MNAV/share = (Market Value – Debt) ÷ Shares Outstanding
- BNAV/share = (Market Value + Net Yield – Debt) ÷ Shares Outstanding
- Sats per Share (Total) = (Treasury BTC + Earned Sats ÷ 100,000,000) ÷ Shares
- Sats Yield per BTC (%) = (Annualized Sats Earned ÷ BTC Deployed) × 100

B MIT License

Copyright (c) 2025 Shone Anstey

Permission is hereby granted, free of charge, to any person obtaining a copy of this document and associated documentation files (the "Whitepaper"), to deal in the Whitepaper without restriction, including without limitation the rights to use, copy, modify, merge, publish, distribute, sublicense, and/or sell copies of the Whitepaper, and to permit persons to whom the Whitepaper is furnished to do so, subject to the following conditions:

The above copyright notice and this permission notice shall be included in all copies or substantial portions of the Whitepaper.

THE WHITEPAPER IS PROVIDED "AS IS", WITHOUT WARRANTY OF ANY KIND, EXPRESS OR IMPLIED, INCLUDING BUT NOT LIMITED TO THE WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE AND NONINFRINGEMENT. IN NO EVENT SHALL THE AUTHORS OR COPYRIGHT HOLDERS BE LIABLE FOR ANY CLAIM, DAMAGES OR OTHER LIABILITY, WHETHER IN AN ACTION OF CONTRACT, TORT OR OTHERWISE, ARISING FROM, OUT OF OR IN CONNECTION WITH THE WHITEPAPER OR THE USE OR OTHER DEALINGS IN THE WHITEPAPER.